Buying Credit Life Insurance

Credit life insurance pays off the balance of your loan if you die. When you finance a car through a dealership, you'll almost certainly be asked if you want to buy credit life insurance. Sometimes it's even added in without you being told, so be sure to look at every line on the financing sheet. Most consumers are better off not buying this coverage.

ALERT

Consumers are overcharged more than $400 million a year for credit life insurance, according to the Consumer Federation of America, which warns that credit life insurance is grossly overpriced and is therefore "a ripoff."

You'll probably also be encouraged to buy credit disability insurance, which would make your car payment for you if you became disabled and couldn't work. The credit disability through your lender only covers your car payment. If you can't get life or disability insurance any other way (through your employer or an individual disability policy), you might consider credit life or credit disability if you're concerned about your family's ability to make the car payment if you die or become disabled.

QUESTION

Where can I find more tips and information about car buying?

Check out websites such as *www.carbuyingtips.com*, *www.carinfo.com*, and *www.edmunds.com* for comprehensive advice on all aspects of buying, selling, and leasing cars. Read up on car dealer scams, too.